

Suzuki will be making investments to the tune of Rs 3,500 crore for capacity expansion and its research and development facility being set up near Manesar

Renault & Nissan have committed Rs 400 crore towards setting up an R&D facility in Chennai with nearly 1,500 engineers, which will provide design inputs for all future projects



RENAULT AND BAJAJ AUTO

Proposed investment \$175 MILLION

The JV will develop 'Lite' passenger vehicles that will give stiff competition to the Tata's people car and the reigning Maruti Suzuki 800

players in India. While the MNCs come with technological strengths, Indian companies have mastered the art of "frugal engineering".

As in life, promiscuity in business too comes with its own problems. In a rush to enter the market fast, global automobile companies are forging alliances left right and centre but managing these partnerships isn't going to be easy because India will become a battleground for global alliance partners. For instance, Nissan and Renault have tied up with Bajaj Auto for the small car project which will compete with Suzuki head-on in India, but at a global level, Nissan has partnered with Suzuki for compact cars.

Renault and Nissan CEO Carlos Ghosn's alliance management skills are already being tested with M&M walking away from the tripartite manufacturing deal in Tamil Nadu. Eleven

WEARING MANY HATS: Ghosn with Rajiv Bajaj for the small car project

months after the initial announcement, the venture—announced by M&M, Renault and Nissan in February 2007—has gone sour with M&M pulling out. According to the memorandum of understanding signed with the Tamil Nadu government, the three companies were to set up a joint manufacturing facility at Oragadam. M&M has since reviewed its plans and will now utilise capacity available at its new plant in Chakan.

Despite hitting a speed-breaker, Renault and Nissan are fully committed to their industrial development plans. Evidently, the domestic market is not the only draw for MNCs, as their experience shows that India can even help them cut material costs. Investments in the auto ancillary sector have made the sector highly com-

petitive in the export market. From high-efficiency alternators to starter sets, Indian suppliers are designing and supplying key components to the world's best auto companies. Lucas TVS, for instance, has designed and developed components for leading car makers. Globally, Vistion is the supplier to Ford Fiesta but in India, Ford uses Indian suppliers as pricing is better and delivery faster.

While some companies are actively sourcing from India, others are simply relocating component units here. German auto parts maker Robert Bosch has relocated manufacture of certain products to MICO India while Crosslink International Wheels, Malaysia's leading automobile security provider, is setting up a unit in Baddi, Himachal Pradesh, to make India the export hub for the South Asian region. Not surprisingly, the size of the auto component industry has zoomed from \$2.4 billion (Rs 9,600 crore) in 1999-2000 to a massive \$10 billion (Rs 40,000 crore) now.

Indeed even as the alliances take place, there is a move to shift gears and take the idea of investing in India to the next level. Thanks to the immense pool of talent India has, Maruti Suzuki India is setting up its R&D facility in India at an investment of between Rs 1,750-3,500 crore over the next three to five years. Even Renault and Nissan have committed Rs 400 crore towards setting up a similar technology centre in Chennai which will recruit 1,500 engineers over the next few months. Says Bilaine: "We want design inputs from the India centre for our future projects. The centre will be linked to the other seven centres worldwide."

It won't be long before the world will drive Japanese, French or German cars designed and developed in India. How's that for globalisation?

with Nandini Vaish